Agency for Palestine Refugees) serves as a stark example of how destabilizing such actions can be.[3]

For most IOs, member-provided funding is the vast majority of their budgets, underpinning nearly every activity, from operational costs to on-the-ground missions. While some organizations benefit from private sector contributions or returns on investments, this nonstate financing typically accounts for a small fraction of their overall budgets. Contributions from member states are often structured in one of three ways: voluntary (as in the World Health Organization), formula-based (as in the IMF and World Bank), or a hybrid of the two. Regardless of the system, the largest financial contributors tend to be the world's most powerful countries, making the loss of their support especially devastating.

The United States, for instance, has a long history of using funding as leverage to shape IO policies, with Congress frequently holding up contributions to the World Bank and United Nations to influence their agendas (Nielson and Tierney 2003; Broz 2008; Novosad and Werker 2019). President Donald Trump escalated this approach during his first term in office, withholding funds from NATO, the WHO, UNHCR, and UNESCO to pressure these organizations into adopting more favorable policies. By cutting funding, populist leaders achieve a dual political victory: redirecting resources to domestic causes while simultaneously undermining what they often characterize as unaccountable global institutions.

This tactic is particularly advantageous for populists because it is both reversible and strategic. Withholding funds can coerce IOs into granting concessions without severing ties entirely, allowing populist states to continue benefiting from the organization's operations. Many IOs, such as the United Nations, have mechanisms that prevent immediate penalties for nonpayment; voting power or membership privileges are suspended only after arrears accumulate for years. This leeway gives populists a prolonged window to manipulate the situation to their advantage.

When funding is abruptly withdrawn, the consequences for IOs can be severe, especially for those with extensive operations, large secretariats, or numerous field missions. These organizations depend on member contributions to pay staff, equip field agents, fund programs, and deliver aid or loans. While some IOs, like the World Bank, generate revenue through